portunities and incomes to the needy. Dr Pramod K. Mishra, principal secretary to the PM, told INDIA TODAY, "Apart from enhancing the capacity and resilience of the economy to grow despite external challenges, the focus in 2025 will be on sustaining high growth and creating new economic opportunities through structural reforms, compliance rationalisation and infrastructure development."

Education and skill development will remain key priorities. In Budget 2024, the Modi government had announced massive internship and employment incentive schemes apart from upgradation of ITIs to boost skilling and benefit 41 million youngsters. Experts say that as with Aadhaar, where Nandan Nilekani was roped in to helm the project, a top professional could ensure speedy, effective implementation in this area too.

rent slab of Rs 15 lakh and above to Rs 30 lakh, so that people can have more money in their hands and boost consumption.

There are other bullets that the Modi government will have to bite for the country to clock 8 per cent growth and meet the skills and jobs crisis. Agricultural reform, especially the use of incentives to wean farmers off grain and towards high-value horticulture crops or edible oil production, is long overdue. The high fertiliser subsidy, blighted by the enormous leakages to non-farm sectors, needs an urgent review. Also in need of a revamp is the Goods & Services Tax (GST) for it to become more rational and effective. The crawling PSU asset monetisation drive needs to shift into high gear. Equally urgent are financial sector reforms, including a third wave of private banks, to ease the credit squeeze and encourage

THE FOCUS IN 2025 WILL BE ON **SUSTAINING HIGH GROWTH,** RATIONALISING COMPLIANCES, STRUCTURAL REFORMS & INFRA DEVELOPMENT, SAYS P.K. MISHRA, PM'S PRINCIPAL SECRETARY

Another priority in 2025, says Mishra, is to ground the 12 industrial nodes and 100 industrial parks near cities, with plug-and-produce facilities to incentivise manufacturing for equitable distribution of growth opportunities. Social welfare is likely to see what he terms a "saturation approach" in schemes such as housing and piped drinking water. The government will also be committed to improving the ease of living and doing business—there is a concerted push to simplify the filing of returns and reduce the number of compliances to start businesses. The middle class is crying for relief from the high personal income taxation rates even as corporate entities enjoyed massive tax cuts. To ease their woes, experts say the government could either significantly reduce the maximum tax rate of 30 per cent or raise the current slab of Rs 15 lakh and above to Rs 30 lakh, so that people can have more money in their hands and boost consumption.

entrepreneurship. To facilitate tourism, a significant job creator, a visa-free regime and VAT refund for tourists from a range of countries could be considered.

Boosting exports is another imperative, which brings us to the second major challenge before Modi in 2025—the continuing global disorder, with two wars still raging and more uncertainty expected once Donald Trump assumes the presidency come January 20. The new American president is expected to be the wrecker-in-chief of several international leaders' happiness. None more so than his Chinese counterpart Xi Jinping, determined as he is to impose stiff US tariffs on Chinese imports. India is not too far down that hit list, Trump having dubbed the country Tariff King in the past. There is also the burgeoning population of illegal Indian immigrants in the US, numbering over 700,000. Not only has Trump threatened mass deportations, he is also expected to put crimps on legitimate Indian H1B work visas.

However, Trump's demolition derby with China could spell opportunities for India. If he makes Chinese imports expensive in the US, it will allow Indian exporters to make inroads into the lucrative American market, and help India become an integral part of global value chains. Senior central government officials believe that the geopolitical shift away from Chinese trade could benefit several labour-intensive export sectors such as textiles, toys, footwear and agri products. Capital-intensive products like electronic goods, semiconductors, pharmaceuticals and heavy chemicals could also gain from the tailwinds of the China Plus One movement. These officials believe that the big opportunity lies in long-term strategic trade integration and research collaboration with the US in areas such as IT hardware, defence, biotechnology, nuclear technology and artificial intelligence.

With Trump set to take over the presidency, PM Modi has two choices. He can offer a tempting bargain by choosing to either lower tariffs on certain goods for the US to give Trump a win, or take back a limited number of illegal Indian immigrants. He could also do a bit of both, given Trump's transactional nature. In either event, Indian interests stand to lose, as lowering tariffs for US manufacturers could hurt a large domestic constituency of corporates. Any concessions on the immigration front could upset the middle class, who regard America as a land of opportunity to which they migrate in droves, both legally and illegally. But given that a crisis brings out the best in PM Modi, the global economic shocks in the wake of the Trump presidency could create a 1991-like moment for the prime minister, allowing him to undertake much-needed structural reforms and put India on the fastest track towards the destination of a Viksit Bharat. ■